

Ultra Sound Money

Ethereum's Post-Merge Supply Dynamics and Monetary Premium

A data-driven analysis for crypto-native investors evaluating ETH as a monetary asset

121.6M ETH

CURRENT SUPPLY

0.1 Gwei

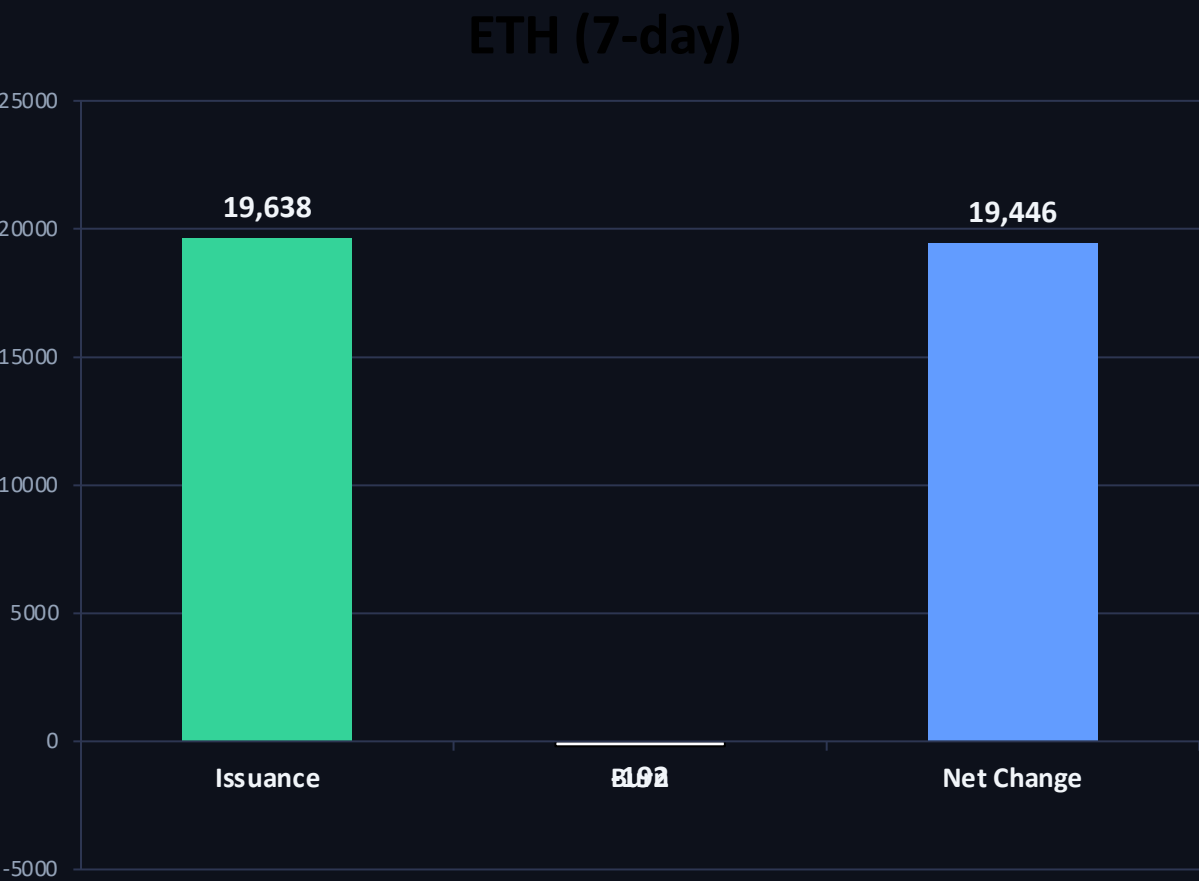
BASE GAS

\$2,243

ETH PRICE

ETH Supply Growing at +0.83%/Year with Only 192 ETH Burned in 7 Days

7-day snapshot: issuance overwhelms burn at a 0.01x offset ratio



121,603,980 ETH

TOTAL SUPPLY

+19,638.29 ETH

7-DAY ISSUANCE

-192.39 ETH

7-DAY BURN

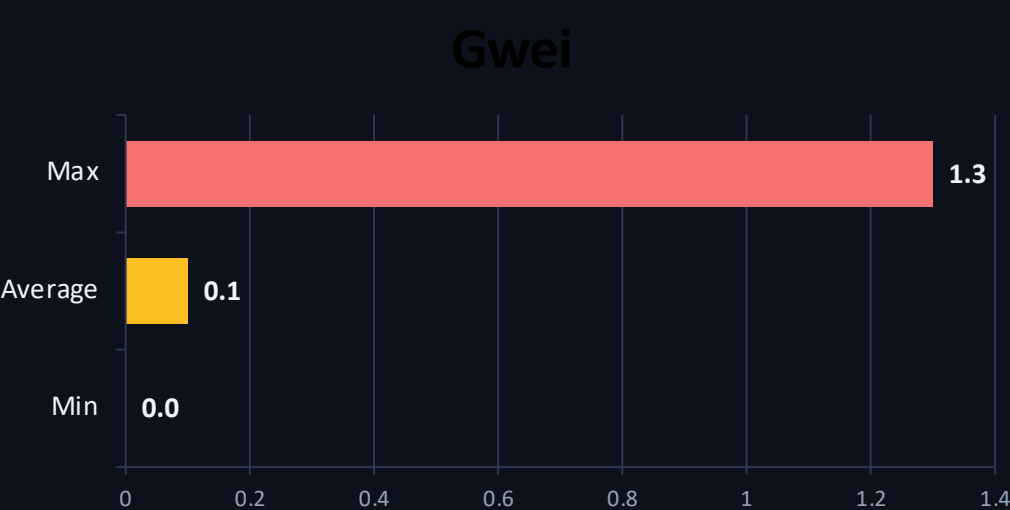
0.01x

OFFSET RATIO

Burns offset only ~1% of new issuance at current gas levels — the ultra sound money thesis requires higher on-chain activity.

Base Gas at Historic Lows: 0.1 Gwei Average Suppresses Fee Burn

EIP-1559 burn mechanism is structurally intact but dormant at current activity levels



GAS MARKET (7-DAY)

- Base Gas Range: 0.0 – 1.3 Gwei
- 7-Day Average: 0.1 Gwei
- Equilibrium Assumption: 22 Gwei
- Gap to Equilibrium: ~220x below projection baseline
- Blob Gas Avg: 7,144,934 wei
- Blob Fee Burn (7d): 0.15 ETH (\$319)

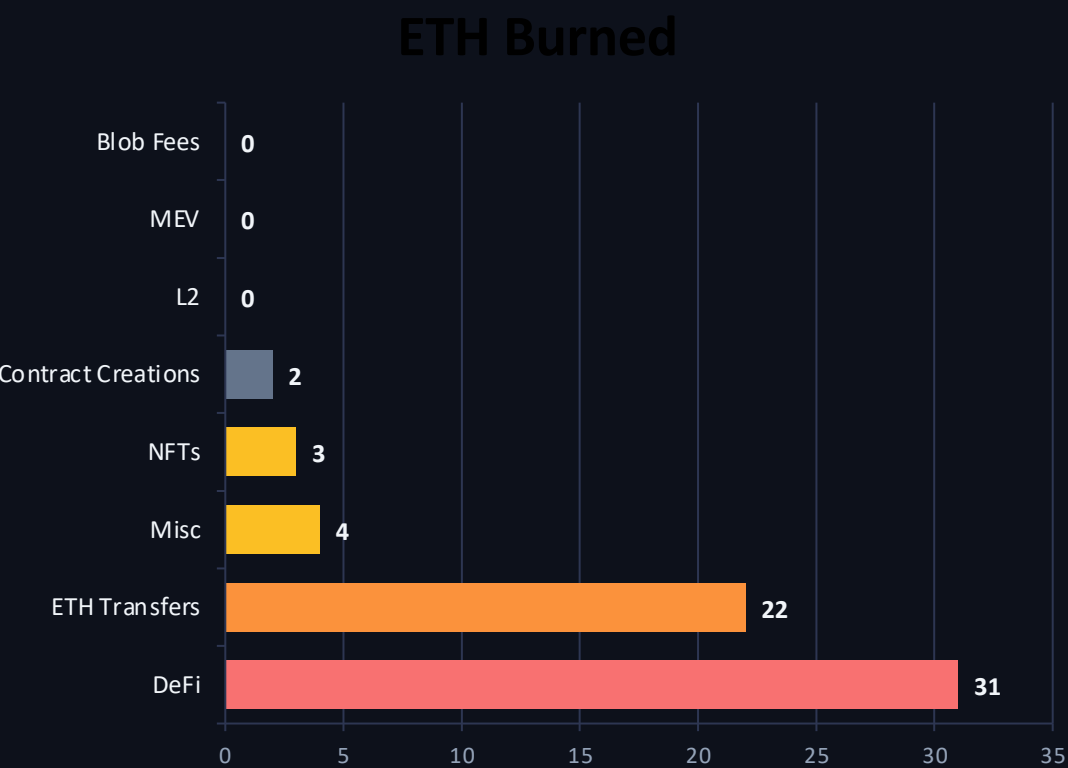
HOW EIP-1559 BURN WORKS

Every Ethereum transaction includes a base fee that is algorithmically set based on block congestion. This base fee is burned (permanently removed from supply) rather than paid to validators. When gas is high, more ETH is destroyed — creating a direct link between network usage and supply contraction.

Low gas = low burn = temporary supply inflation. The 22 Gwei equilibrium assumption used in long-term projections is ~220x above current levels — meaning the deflationary mechanism exists but requires sustained demand to activate.

DeFi and ETH Transfers Account for 85% of Weekly Fee Burn

7-day burn by category and top fee-consuming contracts



TOP BURN LEADERBOARD (7-DAY)

- 1. ETH Transfers 21.74 ETH
- 2. Tether USDT 13.55 ETH
- 3. DeFi Contracts Various

Category Breakdown:

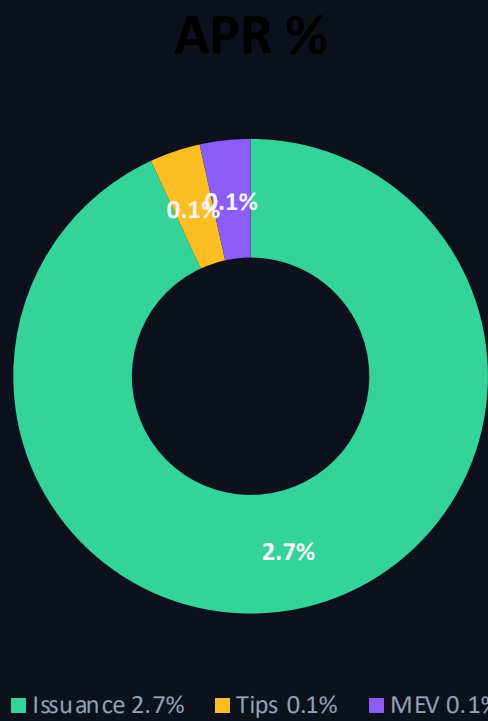
DeFi + ETH Transfers ~85% of burn
L2 / MEV / Blob Fees 0 ETH (inactive)
Recent blocks 0.00–0.01 ETH/block
7-day block record 0.07 ETH max

~192 ETH

TOTAL 7-DAY BURN

38.9M ETH Staked at 2.7% Issuance Rewards with Minimal Tips and MEV

Staking locks 32% of supply, creating a powerful scarcity engine



PoS Issuance: ~2,800 ETH/day | Fee Burn: ~2,200 ETH/day (normalized)
At current gas levels, actual burn is far below this normalized figure.

STAKING OVERVIEW

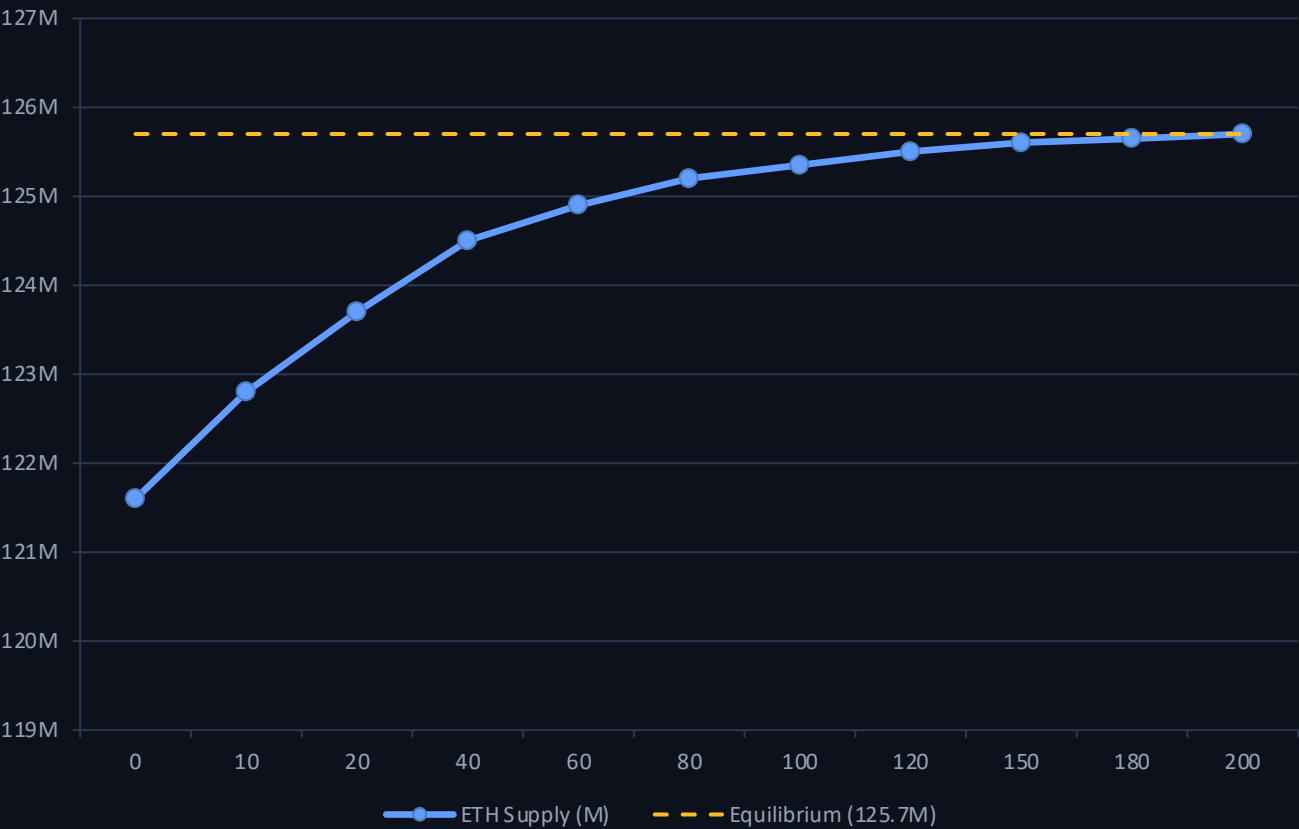
38.9M ETH TOTAL STAKED	32% % OF SUPPLY
9.1M ETH LOCKED IN CONTRACTS	10.7 Years AVG LOCK SPAN

THE SCARCITY ENGINE

9.1M ETH locked in staking contracts with an average time span of 10.7 years — this represents long-duration supply removal. Combined with EIP-1559 burn, staking creates a dual deflationary vector when on-chain activity is sufficient.

Long-Term Equilibrium Projected at 125.7M ETH with 1,037K ETH/Year Issuance-Burn Balance

200-year supply trajectory converging to equilibrium under 22 Gwei base gas assumption



PROJECTION PARAMETERS

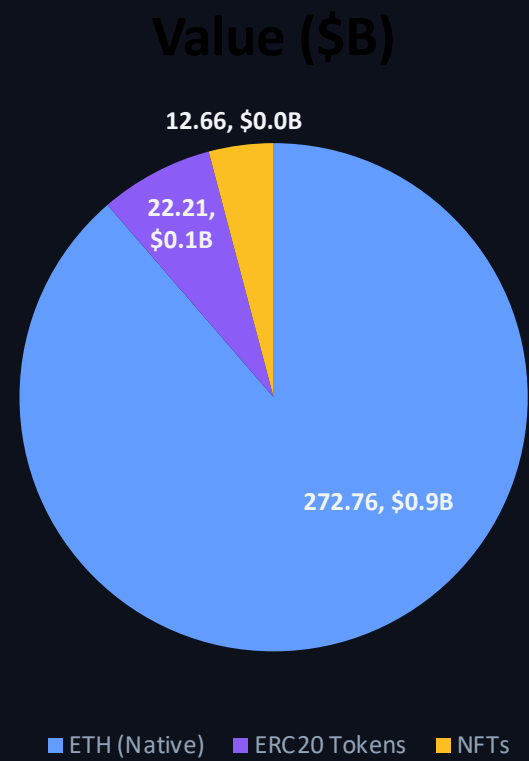
- Equilibrium Supply: **125.7M ETH**
- ETH Staked (assumption): **39M**
- Base Gas (assumption): **22 Gwei**
- PoS Issuance: **~2,800 ETH/day**
- Burn (at 22 Gwei): **~2,200 ETH/day**
- Issuance-Burn Balance: **~1,037K ETH/year**
- Staker Issuance Rate: **2.7%/year**
- Non-Staker Burn Rate: **1.2%/year**

HISTORICAL ERA TRANSITIONS

- Genesis: 5 ETH/block → Byzantium: 3 ETH/block
- Constantinople: 2 ETH/block → Phase 0: PoS staking
- London: EIP-1559 burn → The Merge: PoW removed

ETH at 18.7% of Bitcoin's Market Cap, Securing \$272B in Native Value

Flipping progress and Total Value Secured breakdown across asset classes



FLIPPING PROGRESS

18.70%

BITCOIN

1.30%

USD

0.89%

GOLD

\$307.6B

TOTAL TVS

TOP ERC20s BY VALUE

Dai: \$4.41B
Shiba Inu: \$3.51B
Cronos: \$2.97B
Tether Gold: \$2.65B

TOP NFTs BY VALUE

CryptoPunks: \$2.13B
Bored Ape YC: \$0.68B
ENS: \$0.63B
Pudgy Penguins: \$0.51B

ETH-native value (\$272.76B) represents 88.7% of Total Value Secured — ERC20s and NFTs add \$34.87B in complementary monetary surface.

Key Takeaways: Ultra Sound Money Thesis Intact but Gas Activity Is the Critical Variable

1

Mildly Inflationary Now

ETH is currently inflationary at +0.83%/year due to historically low gas fees (avg 0.1 Gwei), with burns offsetting only ~1% of issuance over the past 7 days.

2

Burn Requires Activity

The EIP-1559 burn mechanism works but requires sustained on-chain activity. DeFi and ETH transfers account for 85% of weekly burn, but absolute volumes are negligible at current gas levels.

3

Staking Locks Supply

38.9M ETH (32% of supply) is staked, with 9.1M ETH locked in contracts averaging 10.7 years — creating significant long-duration supply removal.

4

Equilibrium Is Structurally Sound

Long-term equilibrium at 125.7M ETH is achievable at sustained ~22 Gwei gas, balancing issuance and burn at ~1,037K ETH/year — but this is ~220x above current levels.

5

Growing Monetary Premium

ETH has reached 18.7% of Bitcoin's market cap and secures \$307.6B+ in total value across ETH, ERC20s, and NFTs — demonstrating expanding monetary surface despite early-stage flipping progress.

FORWARD LOOKING: The ultra sound money thesis is structurally intact — the question is when, not if, on-chain activity recovers to activate the deflationary flywheel.